05 · Risk & position sizing

FXC Master · Class notes (view only)

Topics in this lesson

- The 1% rule
- Stop-loss first
- Risk-reward

Illustrative chart — for education only. Not financial advice.

Explanation

Professional traders decide how much they are willing to lose before they think about profit. A common guideline is risking no more than 1% of your account on a single trade.

Your stop-loss defines your risk. Only once it is placed do you calculate position size so that the distance to your stop equals your chosen risk.

Aiming for trades where the potential reward is larger than the risk means you can be right less than half the time and still grow your account.

